A Price and Time Projection for the End of Wave X

It has now become apparent why waves Ⓒ, Ⓓ and Ⓔ have taken their time developing. Wave (W) lasted a Fibonacci **2** years, from 1980 to 1982. Wave (X) has been tracing out a triangle from 1982 that is fairly certain to last a Fibonacci **13** years, ending in **1995**.

As the quotation from February 1992 shows, *The Elliott Wave Theorist* projected wave Ⓔ to carry to the $420-$500 area before it even began. The specific target of $461 issued two years ago was derived from the observation that alternate waves in a triangle are often related by .618, and a peak at that level would make wave Ⓔ .618 as long as wave Ⓒ. Wave Ⓔ's internal structure now supports that target, because if wave (c) is to equal wave (a), a typical relationship, it would peak in the $450s basis London fix. This cluster makes the **$450-461** area an ideal target.

The entire pattern will remain intact as long as wave Ⓔ tops at or below the peak of wave Ⓒ, which gives it a 10% leeway beyond the ideal target. Wave (c) could stretch to just shy of 1.618 times the length of wave (a) and top at wave Ⓔ's maximum potential near $500. In fact, given that waves Ⓐ and Ⓒ topped at $511.50 and $502.75 respectively, a rise in wave Ⓔ to near $500 would fit the shape of an "ascending triangle," which is a contracting triangle with a flat top.

To conclude, a rise to the upper half of the $400s is all that remains in gold's 13-year triangle pattern. From that high, and given that the low $500s are not exceeded, the Supercycle bear market will resume with a final Ⓐ-Ⓑ-Ⓒ decline for wave Y of the W-X-Y double zigzag pattern that began in January 1980.

Is there any supporting evidence that gold is closer to a major top than a major buying opportunity? Let's examine some indicators of relative value.

Valuation of Gold Relative To Commodities

Gold is down over 50% from its all-time high and has trended sideways for fifteen years during a mildly inflationary period. Is it therefore cheap? Figure 17-6 shows the value of an ounce of gold relative to the value of a basket of commodities as represented by the Producer Price Index. In 1980, the free market had brought gold to its highest level of relative valuation in 250 years. The decline since then has brought it to a level that is still higher than any relative valuation in the past 200 years.